

[Table 4.3](#) uses numbers to show how price behaves after the pattern completes at D.

How often does price turn at D? At the end of the pattern, price can form a minor high at D or price can continue trending upward (as in a straight-line run up). Most of the time (86%), the stock will form a minor high at D. To find the reversal rate, I checked for a minor high appearing there (that is, I checked to see if price actually turned lower). [Figure 4.3](#) shows an example where the stock failed to turn significantly lower at D.

How many drop to...? This measures the drop after D but uses the pattern's turns as targets. For example, I found that in bull markets, the stock reached turn B 81% of the time. Turn B is the closest turn below D, so it should, and does, have the highest hit rate in the table.

At the bottom of the pattern is point A. Price reaches A just over a third of the time.

You can use these findings to help calculate where your stock might turn. Because you're dealing with probabilities, anything can happen.

Sample Trade

[Figure 4.4](#) shows how Pete used a bearish bat. He bought the stock when it broke out to a new high, at E (the highest price bar on the chart). “Don't laugh,” he told me. “How many of these zingers have you got caught in?”

I didn't say a word, but blushed instead. Many years ago I bought a stock and watched it more than double. Wonderful! But I felt it had more to give so I held on. It lost all of its gains, dropped in half, and I sold near the low. Oops. Then it recovered. Of course it recovered with me watching from the sidelines.

So I know how Pete feels. Maybe you do, too. As traders, we all make mistakes. And that's the beauty of experience. It allows you to recognize a mistake when you make it again.

Pete believed in the company and had profited over the years by holding onto the stock. He checked in every few weeks and saw price continuing to move lower. The decline didn't bother Pete. Why?